,,	Investments A/c Dr.		25,000	
	To Revaluation A/c			25,000
	(Unrecorded investments brought into accounts)			
,,	Revaluation A/c Dr.		12,000	
	To John's capital A/c			4,000
	To James's capital A/c			4,000
	To Raja's capital A/c			4,000
	(Profit on revaluation transferred to capital accounts)			

Dr. **Revaluation Account** **Cr.**

Particulars	₹	₹	Particulars	₹
To Machinery A/c		10,000	By Investments A/c	25,000
To Office equipment A/c		2,000		
To Provision for doubtful debts		1,000		
To Profit on revaluation transferred to				
John's Capital A/c (1/3)	4,000			
James Capital A/c (1/3)	4,000			
Raja's Capital A/c (1/3)	4,000	**12,000**		
		25,000		25,000

(b) When revised values of assets and liabilities are not shown in the books:

Under this method, the assets and liabilities are shown at their original values and not at the revised values in the books and in the balance sheet which is prepared immediately after the retirement of a partner. The net result of revaluation is adjusted through the capital accounts of the partners. A Memorandum revaluation account which is a temporary account is opened when the revised values are not to be shown in the books of accounts.

6.5 Determination of new profit sharing ratio and gaining ratio

6.5.1 New profit sharing ratio

It is necessary to determine the new profit sharing ratio at the time of retirement of a partner because the continuing partners acquire the retiring partner's share of profit. New profit sharing ratio is the agreed proportion in which future profit will be distributed to the continuing partners. If the new profit sharing ratio is not agreed, the continuing partners will share the profits and losses equally.

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